

TME Investment Memo

Tencent Music Entertainment Group (NYSE: TME) | 2026-07-02

The Business in 30 Seconds

TME is China's largest online music entertainment platform by MAU, operating an integrated ecosystem of streaming (QQ Music, Kugou Music, Kuwo Music), karaoke/social entertainment (WeSing), and long-form audio (Lazy Audio, plus the newly-acquired Ximalaya). It is a Cayman Islands-incorporated, Tencent-controlled company operating in China via a VIE structure, generating 81.2% of revenue from online music subscriptions/advertising and 18.8% from a shrinking social entertainment segment [TME_20F_FY2025.htm, Item 4.B].

What's Going Right

Monetization is compounding even as the user base shrinks. Paying ratio rose from 17.1% to 22.9% and monthly ARPPU from RMB10.0 to RMB11.8 over FY2023-FY2025 [TME_20F_FY2025.htm, Item 5], with SVIP subscribers surpassing 20 million.

Margins are expanding sharply. Gross margin rose from 42.3% to 44.2% YoY in FY2025; operating profit grew 53.4% YoY to RMB13,364m [TME_20F_FY2025.htm, Item 5.A] — though a portion of this reflects a one-time RMB2,285m investment gain (see [[Financial Deep Dive]]).

Balance sheet is fortress-like. Net cash of ~RMB34.5bn (~\$4.9B) against total debt of just RMB3,497m [TME_20F_FY2025.htm, Consolidated Balance Sheets], funding a dividend that has grown ~75% across three declarations (US\$0.137 → US\$0.18 → US\$0.24 per ADS) and an active \$1bn buyback program.

Valuation discount to peers. Trailing P/E of 10.5x and forward 8.77x sit well below Spotify (28.8x fwd), Tencent Holdings (12.1x fwd), and Warner Music Group (49.7x trailing) (Note: from external source). Sell-side average price target of ~\$16 implies ~85% upside from the \$8.66 price (Note: from external source).

Ximalaya acquisition adds scale in long-form audio, closing May 18, 2026 (Note: from external source) for US\$1.26bn cash plus shares — consolidating China's leading standalone audio platform rather than competing with it.

What Could Go Wrong

MAU has declined for two straight years — 589m (FY2023) → 570m (FY2024) → 547m (FY2025) [TME_20F_FY2025.htm, Item 5] — while a well-capitalized new entrant reportedly leveraging short-video distribution (ByteDance's Soda Music, per external reporting) has emerged as a competitive threat that **TME's own filings do not name anywhere**.

Core content licensing is explicitly non-exclusive. [TME_20F_FY2025.htm, Item 4.B]: "Our licensing agreements with music labels and music copyright owners are on a non-exclusive basis" — meaning TME's content catalog is not a defensible moat against NetEase Cloud Music or new entrants.

Quarterly KPI transparency was just discontinued. Starting Q1 2026, TME stopped quarterly MAU/paying-user/ARPPU disclosure, moving to annual-only reporting (Note: from external source) — reducing investors' ability to verify in real time whether the MAU decline is stabilizing.

Governance risk from controlling shareholder. Tencent holds >90% of voting power (Note: from external source); [TME_20F_FY2025.htm, Item 3.D]: "The interests of Tencent may not be aligned with the interests of our other shareholders." Minority ADS holders have no practical influence over major decisions.

Active antitrust litigation and regulatory constraints on growth levers. NetEase Cloud Music sued TME in June 2024 alleging abuse of market dominance in music licensing [TME_20F_FY2025.htm, Item 8]; separately, SAMR's approval of the Ximalaya deal reportedly bars TME from pursuing new exclusive audio licensing agreements (Note: from external source) — closing off a path to widening the moat via M&A.

VIE and China-ADR structural risk. ADS holders' economic claim runs through contractual VIE arrangements, not direct equity ownership [TME_20F_FY2025.htm, Item 4.C], with attendant HFCAA/PCAOB delisting risk disclosed as an ongoing risk factor.

The Numbers That Matter

Metric	FY2025	FY2024	FY2023
Revenue (RMB million)	32,902	28,401	27,752
Revenue Growth	+15.8%	+2.3%	—
Operating Income (RMB million)	13,364	8,710	6,059
Operating Margin	40.6%	30.7%	~21.8%
Net Income (RMB million)	11,353	7,109	5,220

Metric	FY2025	FY2024	FY2023
FCF (calculated, RMB million)	9,043	9,243	6,173
Total Debt (RMB million)	3,497	5,726	5,636
Cash + Term Deposits (RMB million)	38,043	37,582	32,223
MAU (millions)	547	570	589
Paying Users (millions)	125.1	117.6	100.9

Source: [TME_20F_FY2025.htm], Consolidated Financial Statements and Item 5 Operating and Financial Review.

Valuation

Multiple	Value	Context
Trailing P/E	10.50	(external — flagged data-quality dispersion across sources, see [[Valuation Check]])
Forward P/E	8.77	(external)
EV/EBITDA	6.45	(external)
Dividend Yield	2.77%	(external)

Scenarios (see [[Valuation Check]] for full assumptions):

Scenario	Fair Value	Return
Bull	~\$15.40	+78%
Base	~\$10.90	+26%
Bear	~\$5.75	-34%

Moat Assessment

Source	Rating
Switching costs	Moderate

Source	Rating
Network effects	Weak-to-Moderate
Cost advantages	Moderate
Intangible assets (content)	Weak
Efficient scale	Absent
Trajectory	Narrowing

Decision

Current stance: Monitor

TME asks investors to believe that a two-year decline in its core user metric is a monetization-driven mix-shift rather than the early stage of competitive share loss to a rival the company itself does not name in its regulatory filings. The valuation case is genuinely attractive on the numbers: a net-cash balance sheet, single-digit forward earnings multiple, a dividend that has grown 75% in three years, and sell-side targets implying substantial upside. But the market's ability to verify the central operating question — is the MAU decline stabilizing? — has just gotten harder, not easier, with TME's move to annual-only user-metric disclosure starting Q1 2026. At the current price (~\$8.66), the thesis becomes more clearly compelling once there is direct evidence (even qualitative, from earnings-call commentary) that management is addressing the Soda Music-style competitive threat and that the Ximalaya integration is driving incremental engagement rather than just adding standalone revenue. Until then, this is a statistically cheap stock with an unresolved core-metric question and reduced transparency to track it — a position size, not a full conviction bet, at most.

Key triggers to watch: - Resumption of more-frequent-than-annual MAU/paying-user disclosure showing stabilization - Direct management commentary addressing competitive share loss to new entrants - Resolution of the NetEase antitrust litigation - First full-year results showing the Ximalaya integration's contribution

Key risks to monitor: - Accelerating MAU decline with no interim visibility to detect it - Adverse antitrust/regulatory outcome further restricting TME's licensing flexibility - Tencent-related-party dealings that could disadvantage minority ADS holders - Broader China-ADR/VIE structural or delisting risk unrelated to TME's own operating performance

Sources: TME Form 20-F filings (FY2023-FY2025, filed with the SEC April 2024/2025/2026), TME Q1 2026 earnings release (May 12, 2026, external source), external market data (stockanalysis.com,

Google Finance, GuruFocus, Music Business Worldwide, StockTitan). All financial metrics cited from filings unless explicitly flagged as external data.